



Press Release

Barclays Kenya Posts an 18% Increase in Profit Before Tax

Nairobi, 7th August 2012.....Barclays Bank of Kenya Limited today announced that its profit before tax increased by 18% to Kes 6.3 bn for the half year ended 30 June 2012 compared to the same period last year.

Notable highlights of the financial results include:

- Total income up 10% principally driven by strong growth in net interest income
- Marginal increase in loan loss provisions but still at below 1% of loans and advances
- A 10% increase in net lending to customers ending at Kes 101 Billion
- Return on Equity of 33% during H1 2012 compared to 27% same period last year
- Earnings per share up 18% at Kes 0.79 compared same period last year

The Board of Directors approved an interim dividend of Kes 0.3 per share, a 50% improvement compared to last year's pay-out.

While making the announcement at an investors' briefing session in Nairobi, Mr. Adan Mohamed, Barclays Managing Director said: "the commendable results arise from the bank's ability to continue with its sustainable growth momentum achieved over the years. We continue to grow on all lines of income while managing costs efficiently through investment in technology and improved productivity." He added that this excellent performance contributed to enhancing the bank's core priorities of Income Growth, Returns, Capital and Liquidity and Citizenship.

Income Growth - A 10% top line growth contributed to the bottom line uplift. This will remain a key priority as we enter into the second half of the year to be supported by asset growth. We will remain focused on risk and reward balance when booking these assets.

Capital and Liquidity - our core capital ratio remains strong at 19% against regulatory minimum ratio of 8%. Our liquidity ratios are also very strong at 40% against regulatory minimum of 20%. This rock solid position provides us with a strong base to meet our customers' needs.

Returns – return on our shareholders equity have increased over the period to 33% from 27% during the same period last year. This has enabled us to continue declaring strong growth in our dividends over time.

Citizenship - we remain fully committed to supporting economic growth in the broader Community and through our partnership with Care and Plan International, we have been able to execute the Banking on Change program that aims at empowering and benefiting women economically, through training in financial literacy skills, entrepreneurship skills and supporting livelihood improvements in over 10 Districts across Kenya. We also continue to enhance our customer experience across all segments.

Looking forward, Mr. Mohamed commented on the potentially challenging economic environment in the run up to national elections. However, he expressed confidence that Barclays is well positioned to take advantage of opportunities and overcome potential challenges.

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 30 June 2012

BARCLAYS BANK OF KENYA LIMITED
FINANCIAL STATEMENTS

STATEMENT OF FINANCIAL POSITION - BANK
AS AT 30 JUNE 2012

	June 2011 Shs '000 Unaudited	December 2011 Shs '000 Audited	March 2012 Shs '000 Unaudited	June 2012 Shs '000 Unaudited
A ASSETS				
1 Cash balances (both local and foreign)	3,754,419	5,032,012	4,324,773	4,157,124
2 Balances due from Central Bank of Kenya	5,811,494	7,179,693	8,414,400	8,656,353
3 Government securities	56,830,796	37,598,365	41,974,313	35,994,221
4 Foreign Currency Treasury Bills and bonds	-	-	-	-
5 Deposits and balances due from banking Institutions (Local)	-	-	1,000,000	-
6 Deposits and balances due from banking Institutions (Foreign)	116,512	265,183	571,088	494,871
7 Government and other securities held for dealing	-	-	-	-
8 Tax recoverable	216,885	-	-	-
9 Loans and advances to customers	91,826,606	99,072,495	100,274,070	101,100,229
10 Investment Securities	-	-	-	-
11 Balances due from group companies	4,623,224	4,530,932	6,811,126	6,859,443
12 Investment in Associates	-	-	-	-
13 Investment in Subsidiary Companies	275,678	275,678	275,678	275,678
14 Investment in joint Ventures	-	-	-	-
15 Investment properties	-	-	-	-
16 Property and equipment	3,129,211	3,055,610	2,996,888	3,087,520
17 Prepaid Operating Rental Leases	61,000	60,000	59,751	59,462
18 Intangible assets	3,244,538	3,364,431	3,262,394	3,136,715
19 Deferred Tax	238,886	423,628	23,706	-
20 Retirement Benefit Asset	1,509,986	1,479,384	1,374,463	-
21 Other assets	5,182,765	4,967,529	4,901,173	5,077,764
22 Total assets	176,822,000	167,304,940	176,263,823	168,899,380
B LIABILITIES				
23 Balances due to Central Bank	4,800,000	-	-	-
24 Customers' deposits	128,430,807	124,207,289	124,745,136	122,484,346
25 Deposits and balances due to Banking institutions (Local)	160,000	-	-	-
26 Deposits and balances due to Banking institutions (Foreign)	111,028	122,642	169,511	157,028
27 Other money market deposits	-	-	-	-
28 Borrowed Funds	-	-	-	-
29 Amounts due to group companies	4,986,740	1,890,153	8,171,824	7,502,542
30 Tax payable	-	211,283	1,025,019	451,240
31 Dividends payable	-	-	-	-
32 Deferred tax liability	-	-	-	378,668
33 Retirement Benefit Liability	-	-	-	1,068,017
34 Other liabilities	11,530,809	11,650,666	10,099,717	11,270,399
35 Total liabilities	150,019,384	138,082,033	144,211,207	143,312,240
C Shareholders' Funds				
36 Paid up / Assigned capital	2,715,768	2,715,768	2,715,768	2,715,768
37 Share premium / (discount)	-	-	-	-
38 Revaluation reserves	(1,539,511)	(2,331,308)	(1,468,598)	(499,180)
39 Retained earnings / (Accumulated losses)	22,887,510	19,236,320	22,405,197	21,974,111
40 Statutory loan loss reserve	2,738,849	2,541,130	1,339,252	1,396,441
41 Proposed dividend	-	7,060,997	7,060,997	-
42 Capital Grants	-	-	-	-
43 Total shareholders' funds	26,802,616	29,222,907	32,052,616	25,587,140
44 Total liabilities and total shareholders funds	176,822,000	167,304,940	176,263,823	168,899,380

STATEMENT OF COMPREHENSIVE INCOME - THE BANK
FOR THE PERIOD ENDING 30 JUNE 2012

	June 2011 Shs '000 Unaudited	December 2011 Shs '000 Audited	March 2012 Shs '000 Unaudited	June 2012 Shs '000 Unaudited
1.0 INTEREST INCOME				
1.1 Loans and advances to customers	6,248,067	13,694,277	3,620,108	7,336,137
1.2 Government securities	1,303,459	2,999,824	1,074,096	2,317,909
1.3 Deposits and placements with banking institutions	28,161	82,029	43,194	95,766
1.4 Other interest income	227,450	856,142	440,497	884,648
1.5 Total interest income	7,807,137	17,632,272	5,177,895	10,634,460
2.0 INTEREST EXPENSES				
2.1 Customer deposits	251,010	735,618	583,308	1,222,189
2.2 Deposits and placements with banking institutions	88,443	297,725	42,763	140,676
2.3 Other interest expenses	74,295	262,806	167,619	298,211
2.4 Total interest expenses	413,748	1,296,149	793,690	1,661,076
3.0 NET INTEREST INCOME	7,393,389	16,336,123	4,384,205	8,973,384
4.0 NON - OPERATING INCOME				
4.1 Fees and commissions income on loans & Advances	986,799	1,981,638	389,383	774,534
4.2 Other fees and commissions	2,437,467	4,921,133	1,277,727	2,514,642
4.3 Foreign exchange trading income	1,338,081	2,675,395	551,673	1,365,976
4.4 Dividend income	-	-	-	-
4.5 Other income	325,269	423,800	83,593	67,862
4.6 Total non-interest income	5,087,616	10,001,966	2,302,376	4,723,014
5.0 Total income	12,481,005	26,338,089	6,686,581	13,696,398
6.0 OPERATING EXPENSES				
6.1 Loan loss provision	392,580	728,680	314,431	458,922
6.2 Staff costs	3,706,186	7,346,856	1,854,738	3,808,989
6.3 Directors emoluments	4,869	14,585	-	13,167
6.4 Rental charge	466,961	924,228	223,831	473,159
6.5 Depreciation on property and equipment	598,420	1,246,566	305,543	585,526
6.6 Amortisation charges	-	-	-	-
6.7 Other operating expenses	1,968,317	4,064,619	1,052,463	2,042,950
7.0 Total operating expenses	7,135,333	14,325,534	3,751,006	7,382,713
Profit before tax and exceptional items	5,345,672	12,012,555	2,935,575	6,313,685
8 Exceptional items	-	-	-	-
9 Profit before tax	5,345,672	12,012,555	2,935,575	6,313,685
10 Current tax	(1,438,297)	(3,652,616)	(937,953)	(2,029,051)
11 Deferred tax	(266,131)	(287,302)	(30,686)	(17,595)
12 Profit after tax	3,641,244	8,072,637	1,966,936	4,267,039
Earnings per Share (Shs)	0.67	1.49	0.36	0.79
Dividends per share (Shs)	0.20	1.30	-	0.30

iii OTHER DISCLOSURES

- 1) **Non-performing loans and advances**
a) Gross non-performing loans and advances
b) Less: Interest in suspense
c) **Total non performing loans and advances**
d) less: loan loss provisions
e) Net non performing loans(c-d)
f) Discounted value of securities
g) **Net NPLs (Excess) / Exposure (e-f)**

	June 2011 Shs '000 Unaudited	December 2011 Shs '000 Audited	March 2012 Shs '000 Unaudited	June 2012 Shs '000 Unaudited
a)	6,312,142	5,482,310	4,226,007	4,509,270
b)	-	-	-	-
c)	6,312,142	5,482,310	4,226,007	4,509,270
d)	5,504,658	4,930,012	3,523,804	3,538,254
e)	807,484	552,298	702,203	971,016
f)	574,887	351,162	330,893	471,720
g)	232,597	201,136	371,310	499,297
2) Insider loans and advances				
a) Directors ,shareholders and associates	90,092	92,467	118,141	124,656
b) Employees	6,938,948	7,578,568	7,966,359	8,413,397
c) Total insider loans and advances	7,029,040	7,671,035	8,084,500	8,538,053
3) Off Balance sheet items				
a) Letters of credit ,guarantees, acceptances	30,111,372	25,490,277	24,008,563	23,501,483
c) Other contingent liabilities	2,408,400	4,174,300	5,420,850	6,685,072
Total Contingent liabilities	32,519,772	29,664,577	29,429,413	30,186,555
4) Capital Strength				
a) Core capital	23,782,655	29,013,085	24,399,843	22,556,351
b) Minimum statutory capital	500,000	700,000	700,000	700,000
c) Excess / (Defeciency)	23,282,655	28,313,085	23,699,843	21,856,351
d) Supplementary capital	5,068,173	4,465,371	4,268,852	4,342,041
e) Total capital	28,850,827	33,478,456	28,668,695	26,898,392
f) Total risk weighted assets	114,957,817	120,365,642	122,059,483	122,115,911
g) Core capital / total deposit liabilities	18.5%	23.4%	19.6%	18.4%
h) Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%
i) Excess / (Defeciency)	10.5%	15.4%	11.6%	10.4%
j) Core capital / total risk weighted assets	20.7%	24.1%	20.0%	18.5%
k) Minimum statutory ratio	8.0%	8.0%	8.0%	8.0%
l) Excess / (Defeciency)	12.7%	16.1%	12.0%	10.5%
m) Total capital / total risk weighted assets	25.1%	27.8%	23.5%	22.0%
n) Minimum statutory ratio	12.0%	12.0%	12.0%	12.0%
o) Excess / (Defeciency)	13.1%	15.8%	11.5%	10.0%
5 Liquidity				
a) Liquidity ratio	47.9%	42.5%	44.1%	39.7%
b) Minimum statutory ratio	20.0%	20.0%	20.0%	20.0%
c) Excess / (Defeciency)	27.9%	22.5%	24.1%	19.7%

Message from the Directors:

The Board of Directors of Barclays Bank of Kenya Limited have resolved to declare an interim dividend for the year 2012 of Shs. 30 cents per share of Shs. 50 cents each of the Company to be paid on or about Friday, 5th October 2012 to shareholders registered at the close of business on Tuesday, 4th September 2012.

By order of the Board

Judy Nyaga
Company Secretary